8. TAXES ON INCOME

The Company's pre-tax income from continuing operations consisted of $1.3 billion, $1.1 billion and $836 million from U.S. operations and $19 million, $18 million and $13 million from foreign operations for the years ended December 31, 2013, 2012 and 2011, respectively.

For the year ended December 31, 2013, pre-tax income from continuing operations in the U.S., income tax expense and the effective tax rate, including the state and local income tax rate, net of federal benefit, were impacted by the gain on sale of royalty rights. For further details regarding the sale of royalty rights, see Note 6.

The components of income tax expense for 2013, 2012 and 2011 were as follows:

	2013	2012	2011
Current:			
Federal	$ 417	$ 332	$ 266
State and local	59	61	60
Foreign	4	3	3
Deferred:			
Federal	27	13	37
State and local	(6)	(6)	(11)
Foreign	(1)	(1)	—
Total	$ 500	$ 402	$ 355

A reconciliation of the federal statutory rate to the Company's effective tax rate for 2013, 2012 and 2011 was as follows:

	2013	2012	2011
Tax provision at statutory rate	35.0 %	35.0 %	35.0 %
State and local income taxes, net of federal benefit	2.8	3.4	3.7
Impact of foreign operations	(0.3)	(0.3)	—
Tax credits	(0.4)	(0.2)	(0.5)
Charge associated with settlement of certain legal claims (see Note 18), a portion for which a tax benefit has not been recorded	—	—	5.2
Transaction costs associated with business acquisitions (see Note 5), a portion for which a tax benefit has not been recorded	—	—	0.3
Non-deductible expenses, primarily meals and entertainment expenses	0.3	0.3	0.3
Impact of noncontrolling interests	(1.0)	(1.3)	(1.2)
Other, net	0.7	0.7	(1.0)
Effective tax rate	37.1 %	37.6 %	41.8 %

The tax effects of temporary differences that give rise to significant portions of the deferred tax assets (liabilities) at December 31, 2013 and 2012 were as follows:

	2013	2012
Current deferred tax assets:		
Accounts receivable reserves	$ 85	$ 91
Liabilities not currently deductible	63	83
Total current deferred tax assets	$ 148	$ 174
Non-current deferred tax assets (liabilities):		
Liabilities not currently deductible	$ 144	$ 140
Stock-based compensation	43	58
Capitalized R&D expense	6	11
Net operating loss carryforwards, net of valuation allowance	114	104
Depreciation and amortization	(475)	(485)
Total non-current deferred tax liabilities, net	$ (168)	$ (172)

At December 31, 2013 and 2012, non-current deferred tax assets of $24 million and $15 million, respectively, are recorded in other long-term assets in the consolidated balance sheet. At December 31, 2013 and 2012, non-current deferred tax liabilities of $192 million and $187 million, respectively, are included in other long-term liabilities in the consolidated balance sheet.

As of December 31, 2013, the Company had estimated net operating loss carryforwards for federal and state income tax purposes of $180 million and $1.2 billion, respectively, which expire at various dates through 2033. Estimated net operating loss carryforwards for foreign income tax purposes are $37 million at December 31, 2013, some of which can be carried forward indefinitely while others expire at various dates through 2022. As of December 31, 2013 and 2012, deferred tax assets associated with net operating loss carryforwards of $140 million and $137 million, respectively, have each been reduced by valuation allowances of $34 million and $32 million, respectively.

Income taxes payable including those classified in other long-term liabilities in the consolidated balance sheets at December 31, 2013 and 2012, were $157 million and $251 million, respectively.

The total amount of unrecognized tax benefits as of and for the years ended December 31, 2013, 2012 and 2011 consisted of the following:

	2013	2012	2011
Balance, beginning of year	$ 199	$ 195	$ 152
Additions:			
For tax positions of current year	11	12	63
For tax positions of prior years	12	10	9
Reductions:			
Changes in judgment	(23)	(2)	(13)
Expirations of statutes of limitations	(2)	(6)	(3)
Settlements	(29)	(10)	(13)
Balance, end of year	$ 168	$ 199	$ 195

The contingent liabilities for tax positions primarily relate to uncertainties associated with the realization of tax benefits derived from the allocation of income and expense among state jurisdictions, the characterization and timing of certain tax deductions associated with business combinations, income and expenses associated with certain intercompany licensing arrangements, certain tax credits and the deductibility of certain settlement payments.

The total amount of unrecognized tax benefits as of December 31, 2013, that, if recognized, would affect the effective income tax rate from continuing operations is $136 million. Based upon the expiration of statutes of limitations, settlements and/or the conclusion of tax examinations, the Company believes it is reasonably possible that the total amount of unrecognized tax benefits may decrease by up to $3 million within the next twelve months.

Accruals for interest expense on contingent tax liabilities are classified in income tax expense in the consolidated statements of operations. Accruals for penalties have historically been immaterial. Interest expense included in income tax expense in each of the years ended December 31, 2013, 2012 and 2011 was approximately $3 million. As of both December 31, 2013 and 2012, the Company has approximately $13 million accrued, net of the benefit of a federal and state deduction, for the payment of interest on uncertain tax positions.

The recognition and measurement of certain tax benefits includes estimates and judgment by management and inherently involves subjectivity. Changes in estimates may create volatility in the Company's effective tax rate in future periods and may be due to settlements with various tax authorities (either favorable or unfavorable), the expiration of the statute of limitations on some tax positions and obtaining new information about particular tax positions that may cause management to change its estimates.

In the regular course of business, various federal, state, local and foreign tax authorities conduct examinations of the Company's income tax filings and the Company generally remains subject to examination until the statute of limitations expires

for the respective jurisdiction. The Internal Revenue Service (“IRS”) has completed its examinations of the Company's consolidated federal income tax returns up through and including the 2009 tax year; however, the Company is currently appealing several proposed tax adjustments for its 2008 and 2009 tax years. At this time, the Company does not believe that there will be any material additional payments beyond its recorded contingent liability reserves that may be required as a result of these tax audits. As of December 31, 2013, a summary of the tax years that remain subject to examination, or that are under appeal, for the Company's major jurisdictions are:

United States - federal	2008 - 2013
United States - various states	2005 - 2013